

Introduction to Management

Chapter Two

The planning function



Definition

- ☞ Planning is the most important function of management.
- ☞ encompasses defining the organization's objectives or goals, establishing an overall strategy, and developing a comprehensive hierarchy of plans to integrate and coordinate.
- ☞ It is concerned with ends (What is to be done) and with means (how it is to be done).

Need for planning

- ☞ **Minimizes risk and uncertainty**
- ☞ **Leads to success:** Planning does not guarantee success
- ☞ **Focuses attention on the organization's goal**
- ☞ **Facilitates control**

The planning process (Steps in planning)

- ✍ **Understanding of the existing situation**
- ✍ **Forecasting**
- ✍ **Establishing objectives**
- ✍ **Determine alternative courses of action**
- ✍ **Evaluating alternative course of action**
- ✍ **Selecting Course of Action**
- ✍ **Formulating Derivative Plans**
- ✍ **Numberzing plans by Budgeting**
- ✍ **Implementing the plan**
- ✍ **Controlling and evaluating the results**

Types of plan

☞ Plans can be classified on different bases or dimensions.

Repetitiveness

Time dimension, and

Scope/breadth dimension

Types of plan

Classification of plan based on repetitiveness

A. Standing plans: are established set of decisions used by managers to deal with recurring or organizational activities.

☞ The standing plans include the following:

a) Purpose b. Objectives c. strategies d.
policies e) Procedures f. methods g. rules

Types of plans(continued)

Purpose (Mission):

Objectives: The objective of business organization is the generation of profit by fulfilling their purpose.

Objectives are sometimes called goals

Strategies: They focus on the ways and means to achieve the established objectives.

Strategies are major courses of actions that an organization plans to take in order to achieve its objectives.

Types of plans(continued)

 An objective with out strategy is impossible to achieve.

Policies: - A policy is a general guide line for decision making.

 It sets up boundaries around decisions, including those that can be made and eliminating those that cannot.

Procedures: A procedure provides a detailed set of instructions for performing a sequence of actions that occurs often or regularly.

Types of plans(continued)

✍ They are guides to action rather than thinking.

Methods:

✍ It is even more detailed than a procedure.

✍ Where a procedure shows a series of steps to be taken a method is only concerned with a single operation with one particular step.

✍ It tells exactly how a particular step is to be performed.

Types of plans(continued)

Rules:

- ✍ They are plans which tell us the actions required and non- required
- ✍ They tell us what we should do or should not do.

Example: No smoking, No personal phone calls, No unauthorized personnel.

Types of plans(continued)

2. Single- use Plans:

- ✍ will not be repeated in the same form in the future.
- ✍ They are plans which are prepared for a particular situation.

Example: a rapidly expanding firm, planning to set up a new ware house, will need a specific single-use plan. It will not use existing warehouse plan

Types of plans(continued)

The major type of single use plans include:

a. Programs b. Projects c. Budgets

Programs:

✍ They are complex of goals, policies, procedures, rules, task assignments, resources to be employed and other elements to carry out a given course of action.

✍ After achieving the short time requirements, the combinations cease to exist (programs) but the plans continue to exist.

Types of plans(continued)

Projects:

Projects are smaller, separate portions of programs limited scope and distinct directives concerning assignments and time.

The accomplishment of the program depends on the achievements of the projects.

Budgets:

A budget is a single use plan that states projected income and expenditures for specific period of time.

Budgets are statements of the financial resources or numbered plans set aside for specific activities in a given period of time

Types of plans(continued)



Budgets are primary devices to control an organization's activities

Budgets are thus important components of programs and projects.

Types of plans(continued)

Classification of plans based on time:

a. Long range b. Intermediate range c. Short range

Long range plans:

- ✗ It covers a longer time horizon and is concerned with the distant future.
- ✗ This type of plan covers a time period of five years and above.

Intermediate range plans:

- ✗ Is a plan designed for a period which is between the long range and the short range.
- ✗ These plans are complementary of the long range plans.

Types of plans(continued)

Short range plans:

They are plans that are not prepared separately.

They constitute the steps towards the implementation of long range plans.

They deal with the immediate future actions.

Types of plan (continued)

Plans based on scope or breadth

These are:

Strategic planning:

✍ It is the process of analyzing and deciding on the organization's mission, objectives, major course of actions or strategies and major resource allocations.

✍ It deals with broad issues and performed by top level managers.

✍ It is a long-range planning that focuses on the organization as a whole.

Types of plan(continued)

Tactical planning:

 They are to convert the strategic plans into action plans.

Example:

-  Developing annual budget for each department, division and project, choosing specific measures of implementing strategic plans.
-  Deciding on the courses of actions for improving current operations.

Types of planning (continued)

Operational planning:

- ✍ It is most specific and detailed action plan.
- ✍ It is made at the operating level and concerned with the day to day, week to week execution of the organizational activities.
- ✍ They tell exactly and specifically what should be done in the short range.
- ✍ They are action plans.

Planning techniques

Here are some of the most effective techniques:

- **1. SMART Goal Setting:**

- **Specific:** Clearly define what you want to achieve.
- **Measurable:** Set quantifiable targets to track progress.
- **Achievable:** Ensure your goals are realistic and within your reach.
- **Relevant:** Align your goals with your overall objectives and values.
- **Time-bound:** Set specific deadlines to create a sense of urgency.

Planning techniques

□ 2. Prioritization Techniques:

Eisenhower Matrix: Categorize tasks based on urgency and importance:

- Urgent and Important: Do these first.
- Important but Not Urgent: Schedule these.
- Urgent but Not Important: Delegate these if possible.
- Neither Urgent nor Important: Eliminate these.

Planning techniques



Planning techniques

- **ABCDE Method:** Assign letters to tasks based on their priority:
 - A: Must-do tasks.
 - B: Important tasks.
 - C: Nice-to-have tasks.
 - D: Delegate-able tasks.
 - E: Eliminate-able tasks.

Planning techniques



Gantt Charts: Visualize project timelines and dependencies

□ **Strategic Planning Techniques:**

SWOT Analysis: Identify your strengths, weaknesses, opportunities, and threats



End